

phase requires the analyst to pass judgment on the attractiveness of the security in question.

Next, Graham insists that for a security to be considered an investment, two conditions must be present: some degree of safety of principal *and* a satisfactory rate of return. As to the first, he cautioned that safety is not absolute; a highly unusual or improbable occurrence can put even a safe bond into default. Rather, he said, the investment should be considered safe from loss under reasonable conditions.

Satisfactory return—the second necessity—also earned a caution, because *satisfactory*, as Graham correctly noted, is a subjective term. He did say that the return can be any amount, however low, as long as the investor acts with a degree of intelligence and adheres to the full definition of investment. Someone who conducts a thorough financial analysis based on sound logic and makes a choice for a reasonable rate of return without compromising safety of principal would be, by Graham's definition, an investor, not a speculator.

Throughout his career Graham continued to be disturbed by the issues of investment and speculation. Toward the end of his life, he watched with dismay as institutional investors embraced actions that were clearly speculative. Shortly after the 1973–1974 bear market, Graham was invited to attend a conference of money managers hosted by Donaldson, Lufkin, and Jenrette, and was deeply shocked by what he heard. “I could not comprehend,” he said, “how the management of money by institutions had degenerated from sound investment to this rat race of trying to get the highest possible return in the shortest period.”⁵

Graham's second contribution—after establishing a clear and lasting distinction between investment and speculation—was a methodology for buying common stocks that would qualify them as an investment rather than speculation. His methodology turned on a concept he called margin of safety, and here too his thinking was driven by the 1929 crash.

The danger of 1929 was not that speculation tried to masquerade as investing, but rather that investing fashioned itself into speculation. Graham noted that optimism based on history was rampant—and dangerous. Encouraged by the past, investors projected forward an era of continued growth and prosperity, and began to lose their sense of proportion about